

This visualization shows Apple's stock price, both moving averages, and markers for buy and sell signals. Looking at this chart helps us understand how the strategy behaves during different market conditions:

- During strong uptrends, the strategy tends to perform well, catching most of the move
- During sideways markets, it may generate multiple false signals as the moving averages cross frequently
- During sharp reversals, it will typically exit the position after some of the reversal has already occurred

This visual assessment is a valuable first step before conducting a more rigorous backtest.

Backtesting the Strategy

What is Backtesting and Why is it Essential?

Backtesting is the process of testing a trading strategy on historical data to see how it would have performed in the past. It's like a flight simulator for traders—allowing you to test ideas in a risk-free environment before putting real money on the line.

Imagine if you could go back in time and test your investment ideas without risking actual capital. That's essentially what backtesting does—it gives you a glimpse of how your strategy might have performed, providing insights into its strengths and weaknesses.

However, there's an important caveat to keep in mind: past performance doesn't guarantee future results. Markets evolve, and a strategy that worked brilliantly over the last five years might struggle in the next five. That said, backtesting remains the most powerful tool we have for strategy development.